

Cover Letter — Senior Secured Term Loan

Date: 2026-07-06

From: GrnBit Cayman Holdings

Address: One Capital Place, Grand Cayman, Cayman Islands

Project: Miracle Lake, Karnes County, South Texas — Phase 1

To: Prospective senior lender / participation syndicate **Re:** Indicative \$3,000,000 senior secured term loan facility — balloon structure

Status: Non-binding · for discussion with counsel only

Dear Lender,

GrnBit Cayman Holdings ("**Borrower**") requests your consideration of a senior secured term loan to fund energisation and OCTO AI validation at **Miracle Lake, Karnes County, South Texas — Phase 1** (power: Xplor Energy / Karnes Electric).

Substantiation — simulation source and traceability

We are not asking you to rely on a static deck. Coverage metrics in the enclosed term sheet are sized from the **OCTO-optimized digital-twin simulation** as of **2026-07-06T19:53:22.251Z** — the same model surface used for investor diligence at <https://octo-dashboard-rikj.onrender.com/>

At that pull:

Metric	Value	Logic chain
OCTO-optimized daily profit	\$2,387/day	OCTO-optimized digital-twin run at 2026-07-06T19:53:22.251Z
Edge vs industry-typical baseline	+22.6%	(Optimized – baseline) ÷ baseline daily profit in twin
BTC price in model	\$63,581	Network economics input at 2026-07-06T19:53:22.251Z
Validation status	simulation-validated	Twin run only; live certification begins at Phase 1 energisation

Industry-typical baseline means rig-level SCADA without OCTO per-chip thermal co-control, modeled at **87.9% hashrate utilization** (within CleanSpark Feb 2026 operating/peak range); **Edge vs baseline** is the simulated daily-profit uplift of the OCTO-optimized digital-twin scenario over that unoptimized baseline.

Tier monthly profits, IO payments, target-DSCR payments, and balloon balances trace to that simulation run, scaled by locked CAPEX build-out per tranche (Simulation Assumptions Schedule; Schedule C). The full economics model is available in the data room.

Why balloon — not full 48-month amortization

At the fixed commercial terms under discussion (**48 months · 12% fixed**), a fully amortizing schedule requires approximately **35%/yr** debt-service yield on principal. The simulation-derived profit yield on funded capex at Phase 1 scale is approximately **29%/yr**. Under full amortization, natural DSCR tops out near **0.82x** even at a **\$3,000,000** draw — below any defensible **1.3x–1.5x** lender floor.

Comparison	Debt-service yield	Source
Full 48-mo amortization at 12%	~35%/yr on principal	Annuity formula on 48-month term
Simulation profit yield (funded capex)	~29%/yr	Tier monthly profit ÷ funded build-out
Natural full-amortization DSCR (\$3M)	~0.82x	\$3,000,000 draw — below 1.3x floor

This is a **structural** constraint, not a negotiating position. The financeable alternative — standard in project finance — is to **size post-interest-only payments to a target DSCR** and accept a **balloon / refinance balance at maturity** rather than pretend the loan self-liquidates in 48 months.

Facility sizes offered

Tranche	Status
\$1,000,000	Not offered — does not fund a viable build-out after site and container fixed costs
\$2,000,000	Offered — see term sheet
\$3,000,000	Offered — full Phase 1 scale (preferred)

Minimum lender participation: **\$250,000**. Multiple lenders may participate pro-rata in a single facility up to **\$3,000,000**.

Enclosures

1. Indicative Term Sheet (balloon structure)
2. Form Loan Agreement (discussion draft — counsel to finalize)
3. Simulation Assumptions Schedule
4. Schedule D — Key Risks

Important disclosures

- OCTO AI performance is **simulation-validated** pending Phase 1 energisation.
- CAPEX build-out sizing uses **locked vendor quotes** (AntSpace/Bitmain hardware + Xplor interconnect) in `capex-quotes.json`, reconciled to **\$3.02M** Phase 1 total.
- This package is **not an offer of securities** and **not legal or tax advice**.

We welcome a diligence call and site scoping session. Contact: djackson@grnbit.digital.

Respectfully,

GrnBit Cayman Holdings

One Capital Place, Grand Cayman, Cayman Islands

Project: Miracle Lake, Karnes County, South Texas — Phase 1

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Annex — Tranche payment summary (OCTO-optimized digital-twin · 2026-07-06T19:53:22.251Z)

\$2,000,000 tranche

Item	Value	Logic chain
Build-out funded	129 miners / 210 (61%) · 2 container(s)	Locked CAPEX quotes (Schedule C) applied to draw amount
Tier daily profit (sim)	\$1,466/day	OCTO-optimized digital-twin \$2,387/day × 61% funded fraction
Tier monthly profit (sim)	\$44,600/mo	$\$1,466/\text{day} \times (365 \div 12) = \$44,600/\text{mo}$
IO period	Months 1–6 · \$20,000/mo	$\$2,000,000 \times 12\% \div 12 = \$20,000/\text{mo}$
IO-period DSCR	2.23x	$\$44,600/\text{mo} \div \$20,000/\text{mo}$
Post-IO payment (target 1.3x DSCR)	\$34,308/mo	$\$44,600/\text{mo} \div 1.3\text{x DSCR} = \$34,308/\text{mo}$
Balloon due month 48	\$1,257,733 (62.9% of principal)	Principal \$2,000,000 less scheduled principal paydown months 7–48

\$3,000,000 tranche

Item	Value	Logic chain
Build-out funded	208 miners / 210 (99%) · 3 container(s)	Locked CAPEX quotes (Schedule C) applied to draw amount
Tier daily profit (sim)	\$2,364/day	OCTO-optimized digital-twin \$2,387/day × 99% funded fraction
Tier monthly profit (sim)	\$71,913/mo	$\$2,364/\text{day} \times (365 \div 12) = \$71,913/\text{mo}$

IO period	Months 1–6 · \$30,000/mo	$\$3,000,000 \times 12\% \div 12 = \$30,000/\text{mo}$
IO-period DSCR	2.4x	$\$71,913/\text{mo} \div \$30,000/\text{mo}$
Post-IO payment (target 1.3x DSCR)	\$55,318/mo	$\$71,913/\text{mo} \div 1.3x \text{ DSCR} = \$55,318/\text{mo}$
Balloon due month 48	\$1,686,539 (56.2% of principal)	Principal \$3,000,000 less scheduled principal paydown months 7–48